HOW SVB COLLAPSED...

- Founded in 1983, SVB benefited from low interest rates in the US following the 2008 financial crisis
- Just before its collapse, SVB held assets worth $209 billion (Rs 17 lakh crore) and deposits of $175 billion (Rs 14.3 lakh crore)
- The start-up exuberance during the pandemic too helped the bank gain big deposits. SVB invested the proceeds in long-term treasury bonds
- As interest rates in the US rose to 4.75 per cent, the value of bonds held by SVB collapsed. Meanwhile, depositors started withdrawing heavily, creating an asset-liability mismatch
- When the bank tried to sell $21 billion (Rs 1.7 lakh crore) worth of available-for-sale securities, it incurred a loss of $1.8 billion (Rs 14,803 crore)
- With the bank's finances under strain, Moody's downgraded SVB's credit rating.
- VC firms asked their portfolio companies to start withdrawing money from SVB
- This led to a run on the bank. On Mar. 9 alone, customers tried to withdraw $42 billion (Rs 3.4 lakh crore), equal to a quarter of the bank's total deposits
- On Mar. 10, trading on the bank's stock was stopped. The bank also tried to find itself a buyer. Regulators intervened and shuttered its operations

...AND ITS IMPACT IN INDIA

- 60 Indian start-ups in the software-as-a-service (SaaS) sector backed by accelerator **Y Combinator** held deposits over $250,000 (around Rs 2 crore) each stuck in SVB, according to media reports
- **Nazara Technologies**, a publicly-listed gaming firm, has said that two of its subsidiaries have $7.75 million (Rs 64 crore) stuck in SVB
- SVB has invested in about **21 Indian start-ups**, including the likes of One97 Communications (which runs PayTM), Shaadi, Naaptol.
- The Centre is trying to gauge the impact the crisis would have on Indian start-ups. Rajeev Chandrasekhar, minister of state for IT, met Indian start-ups via video conference and asked them to explore the Indian banking system and make it part of their business model
- Both US and Indian banks would now become more cautious regarding funding start-ups. Funds from overseas flowing into Indian start-ups could also be delayed due to the increased scrutiny they will now face

changed when the US Federal Reserve started raising interest rates last year. From as low as 0.25-0.50 per cent in March 2022, the rates have touched 4.5-4.75 per cent. They might go up even further as the central bank continues its war on high inflation. As interest rates spiralled, the value of the bonds SVB held fell. Meanwhile, depositors started withdrawing more of their money as external funds dried up. This created an asset-liability mismatch.

When the bank tried to sell $21 billion worth of its available-for-sale (AFS) securities to maintain liquidity, it incurred a loss of $1.8 billion. AFS securities differ from held-to-maturity (HTM) securities—the latter can be redeemed only when the bonds mature, say, after 20 years. Ahead of the bank's collapse, chief executive officer Gregory Becker, chief financial officer Daniel Beck and chief marketing officer Michelle Draper sold shares worth $4.5 million of the bank's parent company SVB Financial Group.

With the bank's finances under strain, Moody's downgraded its credit rating. Prominent VC firm Founder's Fund asked its portfolio firms to start withdrawing money from SVB, as did other VCs such as Union Square Ventures and Coatue Management. This led to a run on the bank, with reports saying that on March 9 alone, customers tried to withdraw $42 billion (Rs 3.4 lakh crore) worth of deposits, or a quarter of the total. The next day, trading on SVB's stock was stopped. The bank also tried to find itself a buyer. It was then that the regulators intervened and shut its operations.

Now, the Federal Deposit Insurance Corporation (FDIC) has created a new bank for all the insured deposits of SVB, though reports suggest that over 90 per cent of them were not insured with FDIC. Also, since FDIC insures deposits of up to $250,000, only those customers with deposits below that threshold will get their money back; others are likely to be paid partially.

US treasury secretary Janet Yellen ruled out any bailout for the bank. "We want to make sure that the troubles that exist at one bank don't create contagion to others that are sound. Let me be clear that during the financial crisis, there were investors and owners of systemic large banks that were bailed out...and the reforms that have been put in place mean we are not going to do that again. But we are concerned about depositors and we are focused and trying to meet their needs." Meanwhile, yet another bank, Signature Bank, which lent primarily to private equity and commercial businesses and also had a cryptocurrency business, collapsed on March 12 after a run on its deposits. The collapse of the banks sent tremors across stock markets worldwide. In India, the BSE Sensex and the Nifty fell 1.5 per cent each on March 13.

Back home, the government is still trying to gauge the impact of the crisis on Indian start-ups. "Start-ups are an important part of the New India economy," tweeted Rajeev Chandrasekhar, the